

INVESTMENT STRATEGY PROPOSAL

Jenny Smith | A\$100m Griffith Scholarship Portfolio
Strategic Asset Allocation • Tactical Asset Allocation • ASX-listed ETFs

Neo-Edge Capital acknowledges the Traditional Custodians of Country throughout Australia and recognises their continuing connection to land, waters and community. We pay our respects to Elders past and present, and extend that respect to all Aboriginal and Torres Strait Islander peoples.



Artwork: Australian Indigenous HealthInfoNet[®]

All figures in AUD. Portfolio data to 31 August 2026; market and policy data to 21 September 2026 unless otherwise stated

OUTLINE

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EXECUTIVE SUMMARY

1

A 70/30 portfolio fits Jenny's 10-year horizon because it clears the 7% target while staying inside her -15% drawdown limit.

2

The 70/30 returned 8.9% p.a. after fees in our backtest, and its worst fall of -12.2% stayed inside the -15% limit.

3

No leverage and a 21% cash buffer fund about five years of scholarships, so we avoid selling growth assets in a downturn.

4

20% of the SAA sits in screened sustainable ETFs (19.4% in the TAA with VEFI), in line with Jenny's values and caring for Country.

5

Because energy and inflation risks are elevated, we recommend a tactical 60/40 tilt into gold and hedged global bonds.

First Nations Perspective & Values Alignment

How Jenny's values and her community's future guide the portfolio



Artwork: Australian Indigenous HealthInfoNet³

WHO IS JENNY

- Indigenous Australian from South-East Queensland with a deep connection to Aboriginal heritage
- Griffith Business School alumna using her Native Title settlement to fund student scholarships
- Experienced businesswoman who puts capital preservation and sound governance first

SUPPORTING YOUR COMMUNITY

- An 8.9% p.a. backtested return, above the 7% target, keeps your Griffith University scholarships funded
- Scholarships remove financial barriers for students and uplift future generations of your community
- Payouts come from a 21% cash holding, so disbursements never erode the principal

ETHICAL STEWARDSHIP

- 20% of the portfolio is held in screened sustainable ETFs, ESGI and VETH
- ESGI is certified by the Responsible Investment Association Australasia³⁴
- We will confirm your exclusions and reporting preferences with you directly

PROTECTING YOUR LEGACY

- Recognising your settlement's significance, we put capital preservation first
- Strict zero leverage and a -15% drawdown limit, with a worst backtested fall of -12.2%
- Diversified across 9 ETFs and four regions to avoid the boom-and-bust cycles of your previous management

CARING FOR COUNTRY

ESGI and VETH screen out fossil fuels, weapons, tobacco and gambling.

FUTURE GENERATIONS

No leverage and a -15% limit protect the settlement for future generations.

COMMUNITY FIRST

A 21% cash buffer funds Griffith scholarships every year without forced selling.

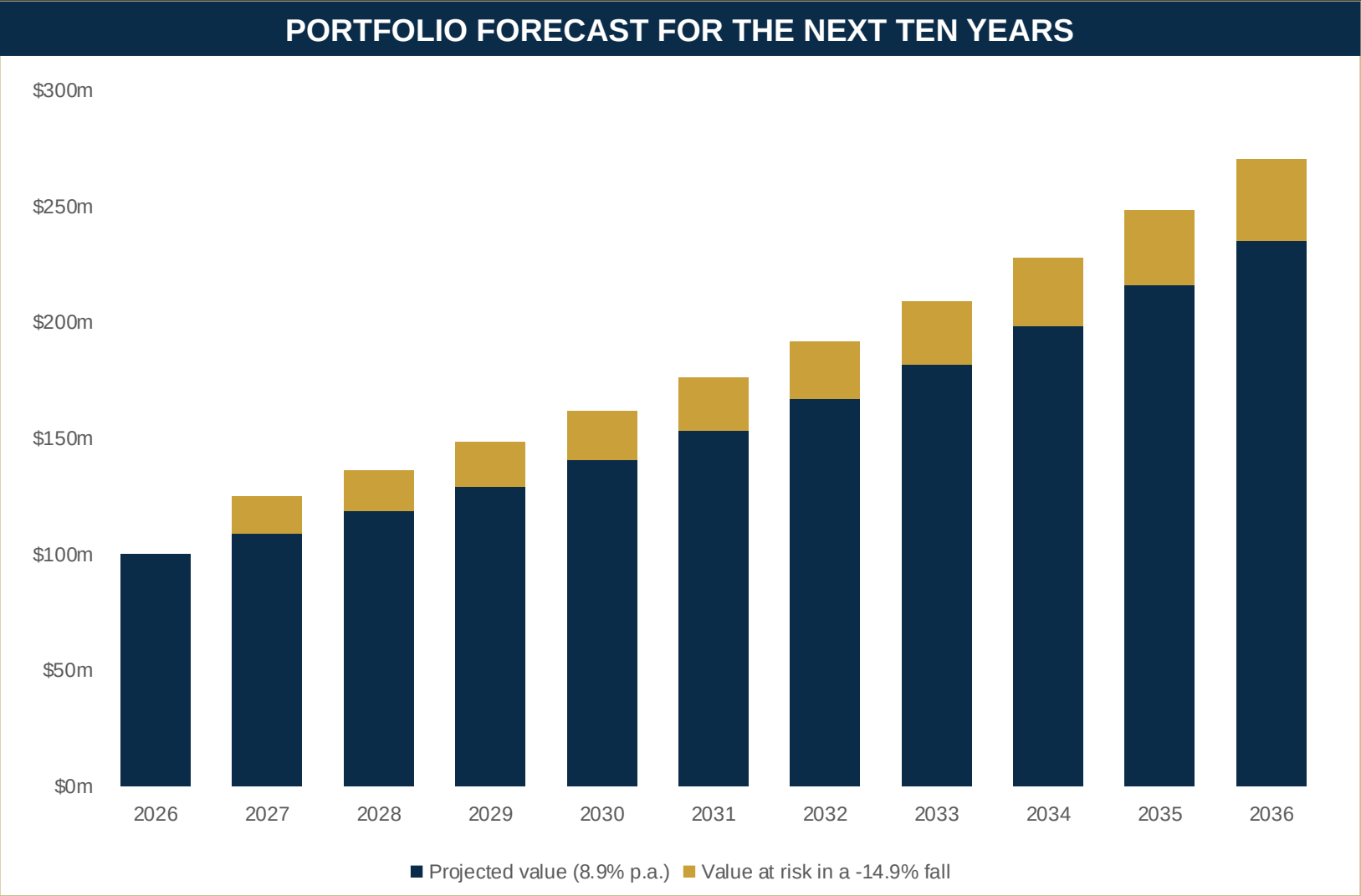
SELF-DETERMINATION

Jenny sets the exclusions, and we review them with her every quarter.

Source: 3233AFE Jenny Smith client brief; LSEG Workspace; RIAA.

Delivering Sustainable Returns Without Compromising Capital

What Jenny needs from the A\$100m, and how the 70/30 portfolio delivers it



OVERVIEW

We recommend a diversified portfolio of ASX-listed ETFs across Australian and global equities, cash, bonds and gold. It returned 8.9% p.a. after fees in our backtest, sustainably funding Griffith University scholarships while preserving Jenny's A\$100m capital.

CLIENT RISK ASSESSMENT

Jenny prioritises capital preservation, with a -15% maximum drawdown and no leverage. We recommend a 70/30 strategic allocation, moving between 60/40 and 80/20 tactically. The 70/30 backtest's worst fall was -12.2%, within her limit.

INVESTMENT OBJECTIVE

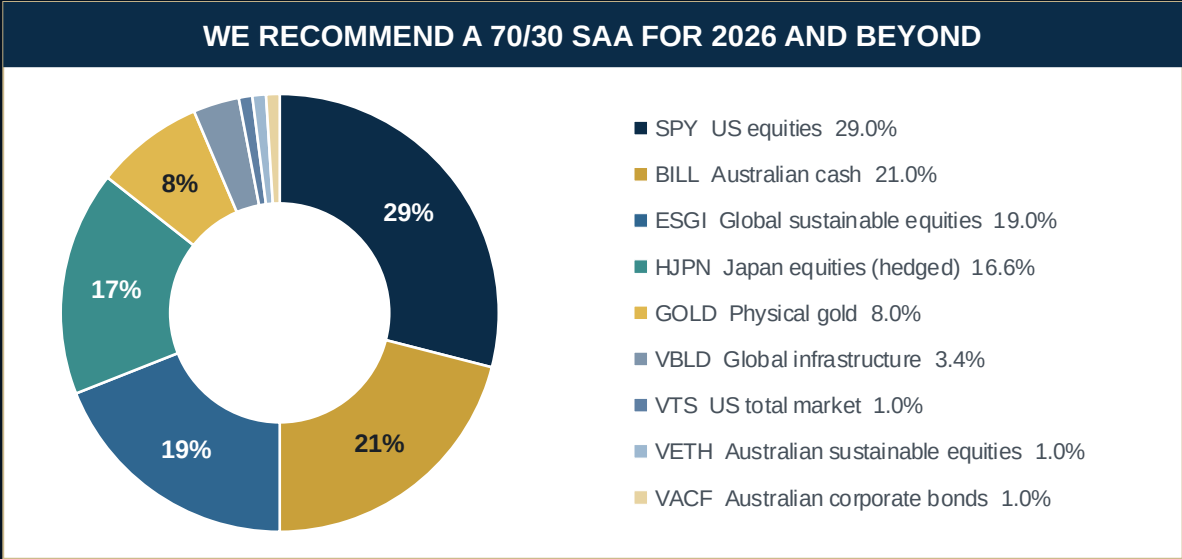
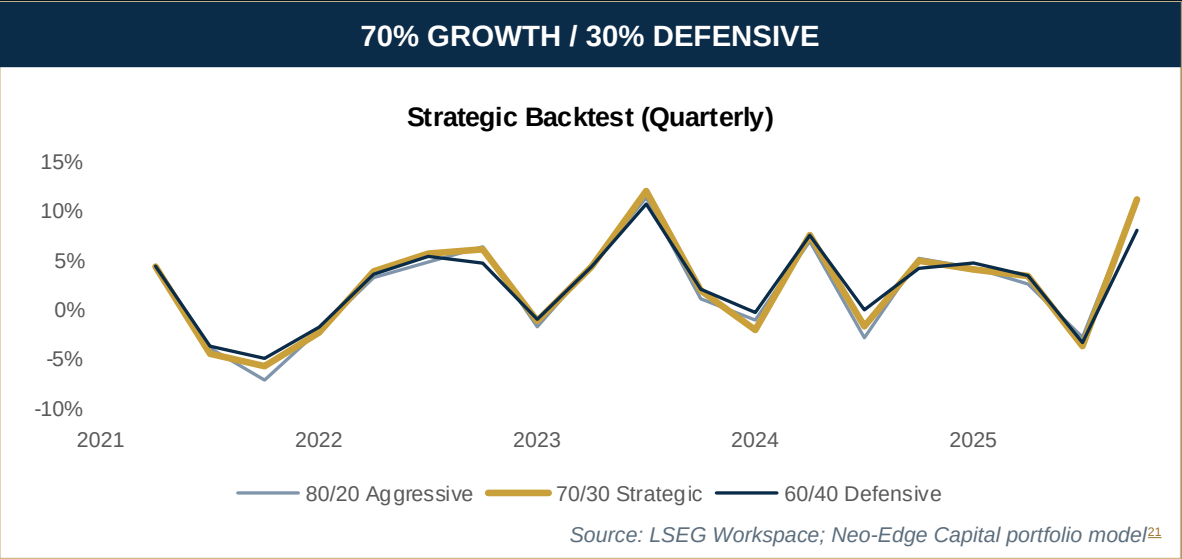
At least 7% p.a. after fees with drawdowns no worse than -15%. 20% of the portfolio is held in sustainable ETFs (ESGI and VETH) to reflect Jenny's values.

INVESTMENT HORIZON

10 years and beyond. An intergenerational capital pool that grows the A\$100m while funding recurring scholarships for financially disadvantaged students. A 21% cash allocation funds payouts without forced selling in downturns.

Strategic Asset Allocation (SAA)

A 70/30 mix clears the 7% target and stayed inside the -15% limit through the 2021-2026 backtest



Quarterly backtest	80/20 Aggressive	70/30 Strategic (SAA)	60/40 Defensive
Quarterly mean return	2.26%	2.47%	2.46%
Quarterly volatility	5.01%	5.07%	4.26%
Annualised return	9.02%	9.89%	9.83%
Annualised volatility	10.03%	10.13%	8.51%
Sharpe ratio	0.52	0.60	0.71
Maximum drawdown	-12.82%	-12.23%	-10.29%

10-YEAR SAA

The 70/30 mix best balances Jenny's goals: 8.9% p.a. after fees with a -12.2% maximum drawdown. The 60/40 leans on gold's unusually strong 19% p.a. run, and the 80/20 earned less with a deeper -12.8% drawdown.

LIQUIDITY

21% is held in cash (BILL), enough to fund about five years of scholarships at a 4% payout, so we can pay scholarships and rebalance in a downturn without selling growth assets at a loss.

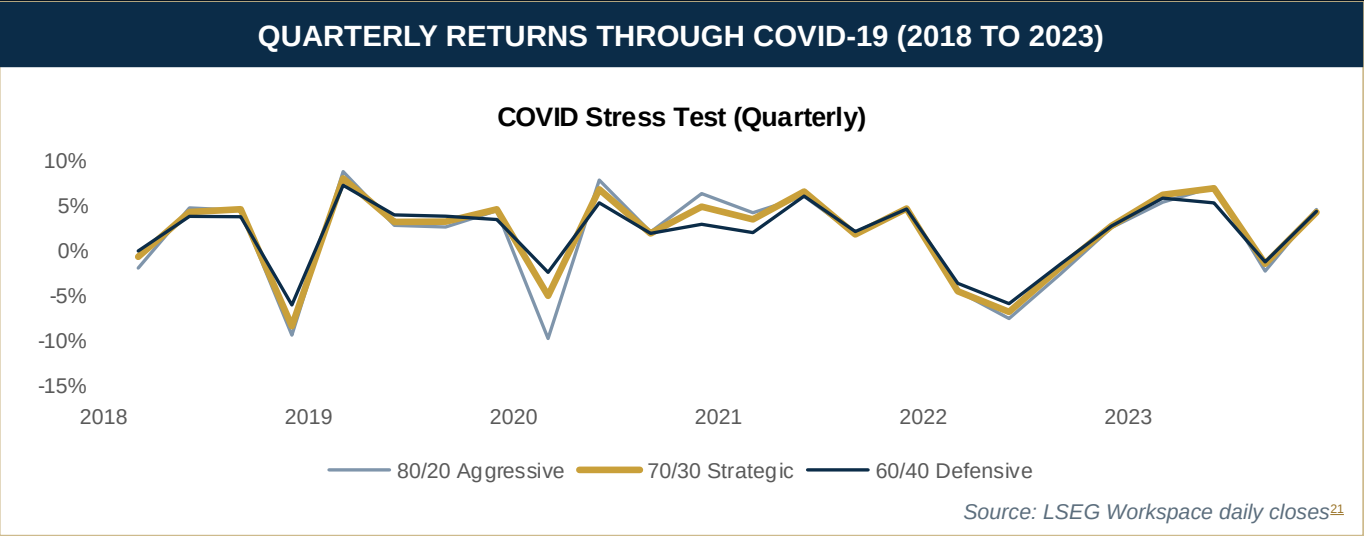
RISK CONTROL

No asset class in any region exceeds 30% and no ETF exceeds 29%, across 9 ETFs in four regions. Volatility is 8.1% p.a. on monthly data, with no leverage.

Quarterly statistics are before fees (Sep 2021 to Jun 2026). The 8.9% p.a. headline is the weighted ETF return from monthly data after the 0.29% MER. Sharpe uses a 3.78% risk-free rate.

SAA Stress Testing: The COVID-19 Crash

A COVID-style crash would push the 70/30 past -15% (-17.6%), so a -10% trigger moves us toward the 60/40, which held at -15.0%



PORTFOLIO DOWNTURN AND RECOVERY

- The COVID crash was the worst fall in the backtest, with all three portfolios bottoming on 23 March 2020.
- The 70/30 fell 17.6% against 36.5% for the ASX 200, and the 60/40 stayed inside the -15% limit at -14.97%.
- All three portfolios regained their pre-COVID highs by November 2020, while the ASX 200 took until May 2021.
- Should a similar crisis occur, we will contact you at a 10% drawdown and move toward the 60/40 defensive allocation.

COVID window, 2018-2023	80/20 Aggressive	70/30 Strategic (SAA)	60/40 Defensive
Quarterly mean return	1.69%	1.98%	1.95%
Quarterly volatility	5.30%	4.56%	3.70%
Annualised return	6.76%	7.93%	7.78%
Annualised volatility	10.59%	9.11%	7.40%
Sharpe ratio	0.28	0.46	0.54
Maximum drawdown	-22.15%	-17.63%	-14.97%

CASH KEPT SCHOLARSHIPS FUNDED

- Equities fell sharply, with Japan (HJPN) down 38% and global infrastructure down 36%.
- Cash remained highly stable, with BILL and AAA falling less than 0.3%.
- Gold and bonds cushioned the fall, with gold down only 12%.
- The 21% cash allocation could fund around five years of scholarships, so no assets had to be sold at the bottom. The 70/30 still returned 8.1% in 2020, while the ASX 200 lost 1.5%.

Source: LSEG Workspace daily closes, Jan 2018 to Dec 2023. ETHI, FAIR, IFRA and VBND stand in for ESGI, VETH, VBLD and VEFI, which listed after January 2018. ²¹

Three forces will drive markets over the next 12-18 months, and each one changes how we invest

1. SYNCHRONISED RE-TIGHTENING: RATES STAY HIGHER FOR LONGER

- Fed hiked to 3.75% to 4.00% in September, first hike since 2023⁶
- ECB lifted its deposit rate to 2.50%, its second hike this year^{13,14}
- BOJ raised rates to 1.25% in September, the highest in 31 years²¹
- RBA holds 4.35% as 10-year bond yields hit 15-year highs^{32,35}

PORTFOLIO IMPACT

Central banks are hiking into sticky inflation, which keeps bond yields high and lowers equity valuations; as a result we hold 21% cash and add only hedged global bonds.

2. AI CAPEX BOOM: PRODUCTIVITY UPSIDE, CONCENTRATION RISK

- Big Tech plans US\$760bn AI capex in 2026, nearly double 2025
- TSMC revenue jumped 53% as AI chip demand outstripped supply
- Chips reached 47% of South Korean exports on AI memory demand
- Magnificent Seven are a third of S&P 500, raising concentration risk

PORTFOLIO IMPACT

Because AI spending is concentrated in a few US mega-caps, index returns hinge on them; as a result we cap the US at 30% and diversify through ESGI.

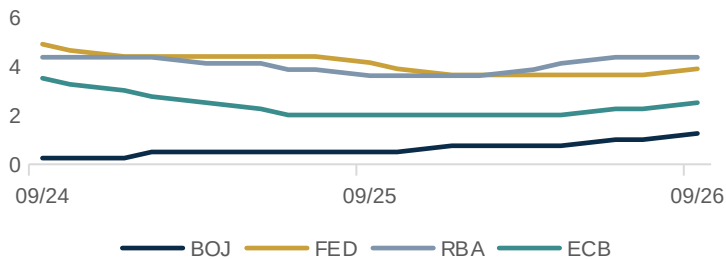
3. HORMUZ DISRUPTION: ENERGY SHOCK REVIVES STAGFLATION RISK

- Brent rose 19% in a month to around US\$97 per barrel³⁷
- Strikes disrupt Hormuz, which carries around a fifth of global oil supply²⁰
- Eurozone inflation rose to 3.3% while major economies grew only 0.2%^{16,17}
- Australian Treasury flags stagflation risk as diesel prices stay above prewar levels

PORTFOLIO IMPACT

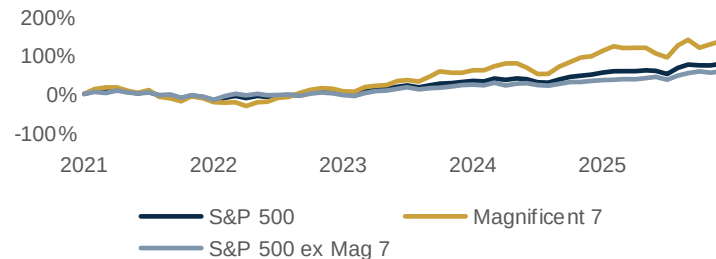
A fifth of global oil passes through Hormuz, so disruption lifts energy and food prices and revives stagflation risk; as a result the TAA lifts gold from 8% to 15%.

Inflation Is Pushing Central Banks Back Into Rate Hikes



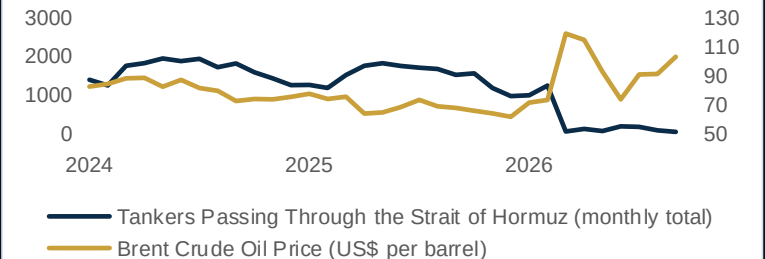
Source: LSEG Workspace²¹

As the World Bets on AI, Seven US Tech Giants Capture Nearly Half of Market Gains



Source: LSEG Workspace²¹

Six Months After Hormuz Closed, Tankers Still Aren't Moving and Oil Is Near \$100



Source: IMF PortWatch; LSEG Workspace^{20,21}

Sticky Inflation Keeps Australian Rates Elevated

Sticky inflation delays RBA easing, so we hold Australia mainly as cash and cut local equities

MACROECONOMICS

- June-quarter GDP beat consensus at 0.4% (2.1% y/y), which gives the RBA room to stay tight; it sees growth of 1.6% by end-2027.^{3,33}
- CPI eased to 3.5% from a 4.6% peak, but housing and food keep it above the 2-3% target, so rate cuts stay off the table.¹

MONETARY POLICY & BONDS

- The RBA held at 4.35% on 12 August but flagged upside inflation risk, so a hike is still live and borrowing costs stay high.^{32,33}
- The 10-year ACGB yield hit a 15-year high of 5.17%; higher discount rates cut the value of future earnings and push bond prices down.³⁵

POLITICAL / EXOGENOUS / INTERACTIONS

- China buys \$325bn of Australian goods (\$117bn iron ore), so weaker demand there hits commodity prices, the AUD and resource earnings.
- The US-Iran conflict keeps diesel above pre-war levels, lifting transport and food costs, and Treasury now flags stagflation risk.
- The ASX 200 trades on 18.1x forward earnings against a 14.8x average, leaving little buffer if yields or China cut earnings.²¹

INVESTMENT RECOMMENDATION

SAA

NEUTRAL

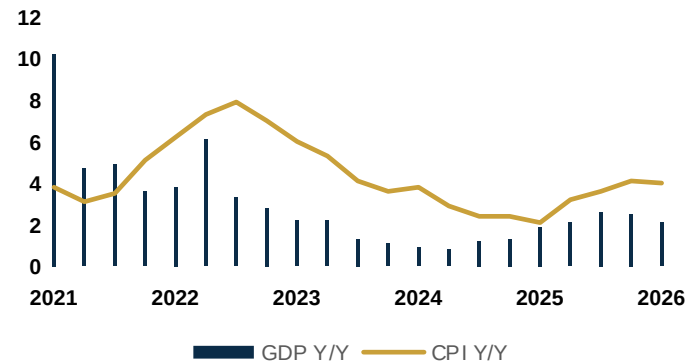
TAA

UNDERWEIGHT

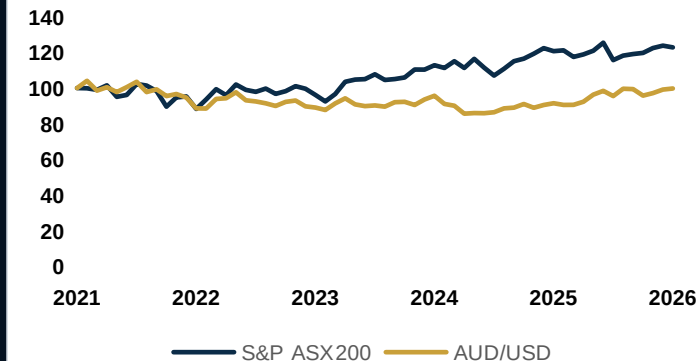
We hold Australia mainly as cash (23% SAA, 21% TAA) and cut VETH to 0% while inflation squeezes margins at 18.1x earnings.

View changes if: Trimmed-mean CPI falls toward 3% and the RBA cuts, which would bring VETH back.

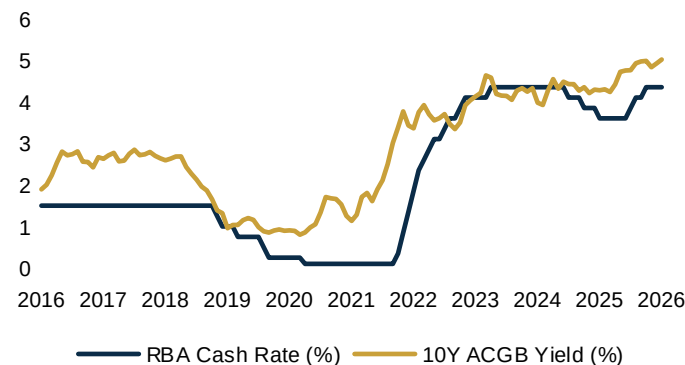
CPI Eases to 3.5% in July as Q2 GDP Beats Consensus at 0.4% Q/Q



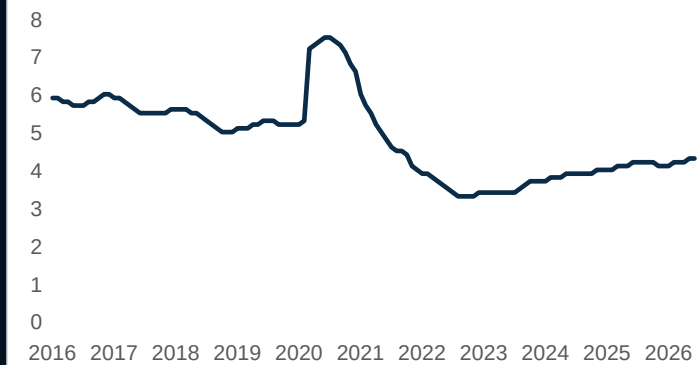
The ASX 200 Has Outrun a Flat AUD, Leaving Valuations Stretched at 18.1x



The 10-Year ACGB Yield Hits a 15-Year High Above a 4.35% Cash Rate



Unemployment Drifts Higher as Treasury Flags Stagflation Risk



Resilient Growth Lets the Fed Tighten Again

Earnings momentum justifies a full 30% weight, but Fed hikes and a flat curve rule out adding more

MACROECONOMICS

- Q2 GDP slowed to 1.5% annualised, but the Fed sees 2.2-2.3% growth to 2028, which supports earnings.^{9,39}
- CPI eased to 3.4% (core 2.5%), but a \$1.9tn deficit and 101% debt-to-GDP mean heavy issuance, keeping long yields high.^{12,41}

MONETARY POLICY & BONDS

- The Fed hiked to 3.75-4.00% in September, its first hike since 2023, which raises the discount rate on long-duration growth stocks.^{6,10,11}
- The 10-year sits near 4.78% with the 2s10s at about 40bp, a flat late-cycle curve that usually precedes slower growth.^{7,18}

POLITICAL / EXOGENOUS / INTERACTIONS

- WTI rose 9% in a week to about \$91 as US strikes on Iran resumed, feeding inflation and leaving the Fed less room to ease.³⁷
- A 31% tariff on China and the 3 November midterms raise fiscal and trade-policy risk, so volatility could rise into year-end.
- Payrolls beat at 162,000 and unemployment held at 4.1%, so the Fed need not cut; the dollar index firmed toward 99 on the news.⁴²

INVESTMENT RECOMMENDATION

SAA

OVERWEIGHT

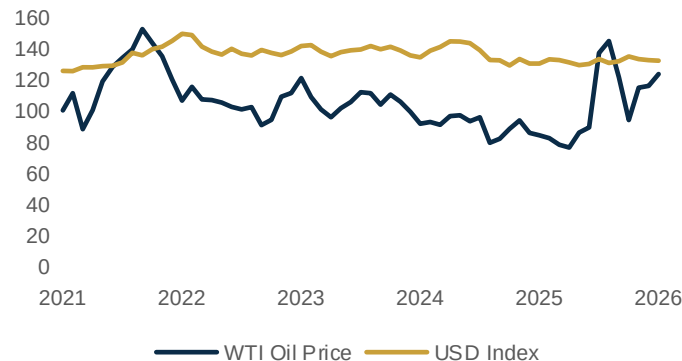
TAA

NEUTRAL

US equities are our largest sleeve (SPY 29%, VTS 1%); the 30% regional cap binds, so the TAA holds rather than adds.

View changes if: An AI earnings miss or a 10-year yield above 5%, which would cut the sleeve toward 25%.

WTI Jumps 9% to \$91 as US Strikes on Iran Resume, Feeding Inflation Risk



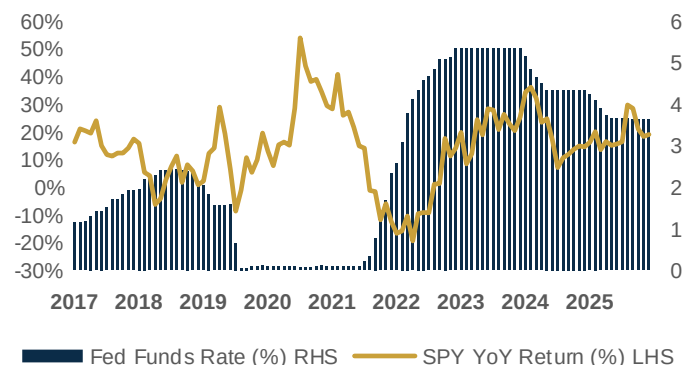
Source: LSEG Workspace²¹

Long Yields Are Stuck Near Cycle Highs, Reinforcing 'Higher for Longer'



Source: FRED²

Market Momentum Craters Each Time the Fed Hikes Fastest



Source: FRED; LSEG Workspace^{6,21}

Q2 Growth Slows to 1.5% as Headline CPI Eases to 3.4%



Source: FRED; LSEG Workspace^{21,40}

An Energy Shock Reopens Europe's Inflation Fight

Imported energy inflation forces the ECB to tighten into weak growth, so we trim European exposure

MACROECONOMICS

- GDP grew just 0.4% q/q, with Germany, France and Italy at 0.2%, so growth is too narrow to absorb an energy shock.¹⁶
- HICP jumped to 3.3% on a 14.3% energy surge while core eased to 2.4%, which shows inflation is imported through energy.¹⁷

MONETARY POLICY & BONDS

- The ECB hiked to 2.25% in June and 2.50% in September, tightening credit into weak growth and raising stagflation risk.^{13,14}
- Bunds near 3.35% and an 84bp France-Germany spread show investors want more to fund deficits, lifting borrowing costs.²⁶

POLITICAL / EXOGENOUS / INTERACTIONS

- France's 5% deficit drew a Fitch downgrade while Germany adds over €180bn of debt, so bond supply rises as the ECB tightens.
- If Hormuz stays shut, EU modelling puts oil near \$180/bbl and gas near €80/MWh, which would hit energy-importing industry hardest.¹⁵
- A disputed 25% US car tariff and a 30-41% fall in German carmakers' China sales squeeze Europe's export engine.

INVESTMENT RECOMMENDATION

SAA

NEUTRAL

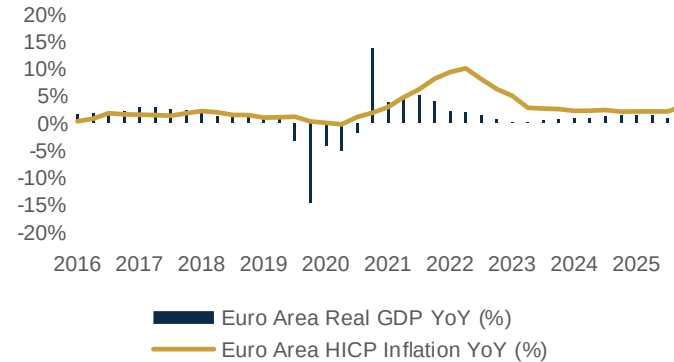
TAA

UNDERWEIGHT

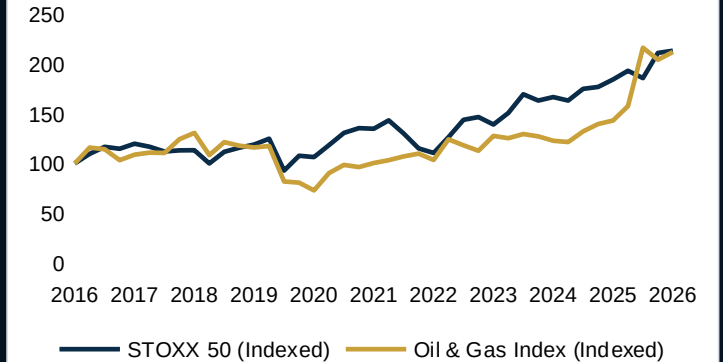
We trim ESGI, which carries our European exposure, from 19.0% to 15.4% as energy inflation hits earnings.

View changes if: Oil falls back below \$80 and the ECB pauses, which would restore ESGI to 19%.

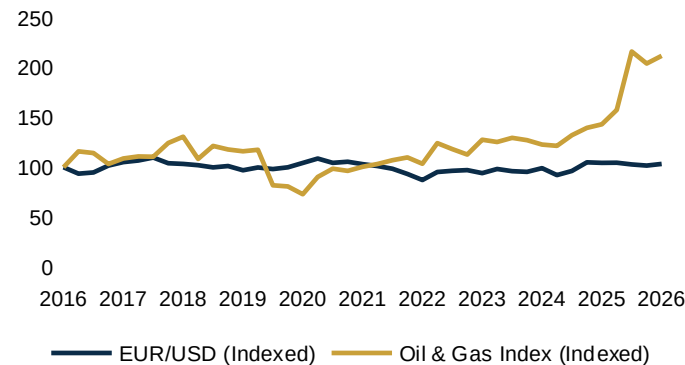
Flash HICP Jumps to 3.3% in August as a 14.3% Energy Spike Outruns 0.4% Growth



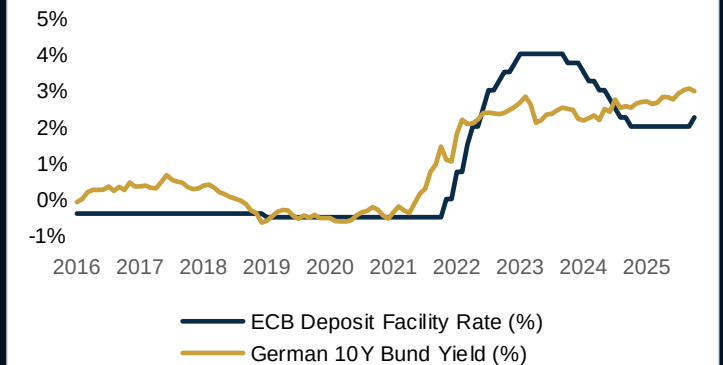
Energy Stocks Have Caught Up With the STOXX 50 as Energy Inflation Surges



Brussels Warns of \$180 Oil if Hormuz Stays Shut, and the Euro Won't Cushion It



The ECB Is Hiking Again, and Bunds Are Near a 15-Year High



Slow Policy Normalisation Has Left the Yen Weak and Volatile

Reform supports a core Japan holding, but BOJ hikes and yen swings argue for a tactical cut

MACROECONOMICS

- GDP grew only 0.3% q/q against a 2.0% forecast as capex fell 1.2%; the IMF sees 0.8% growth in 2026, which limits earnings upside.¹⁹
- The Shunto gave 5.01% pay rises, yet real wages fell for a fourth year, so consumption stays weak even as firms regain pricing power.

MONETARY POLICY & BONDS

- The BOJ raised its rate to 1.25% in September, a 31-year high, which narrows the gap with US rates and can trigger sharp yen rallies.^{21,27}
- The 10-year JGB yield broke 3.00% for the first time since 1996, which pulls Japanese savings home and lifts funding costs.²¹

POLITICAL / EXOGENOUS / INTERACTIONS

- China halted seafood imports and rare-earth flows after PM Takaichi's Taiwan remarks, which threatens manufacturers' supply chains.
- Middle East disruption pushed the energy import bill to a record \$89.46bn in June, which widens the trade deficit and weakens the yen.
- USD/JPY swung from 163.87 to 155.82 after a joint intervention; because the yen can swing sharply, we hold HJPN hedged to AUD.²¹

INVESTMENT RECOMMENDATION

SAA

OVERWEIGHT

TAA

UNDERWEIGHT

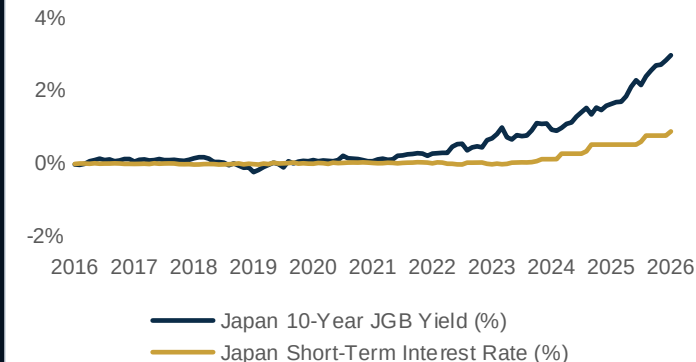
Reform earns HJPN a 16.6% strategic weight; the TAA cuts it to 10% while BOJ hikes and yen swings play out.

View changes if: The BOJ pauses and USD/JPY settles above 155, which would restore HJPN to 16.6%.

Q2 Growth Undershoots at 0.3% as the IMF Cuts Its 2026 Forecast to Just 0.8%



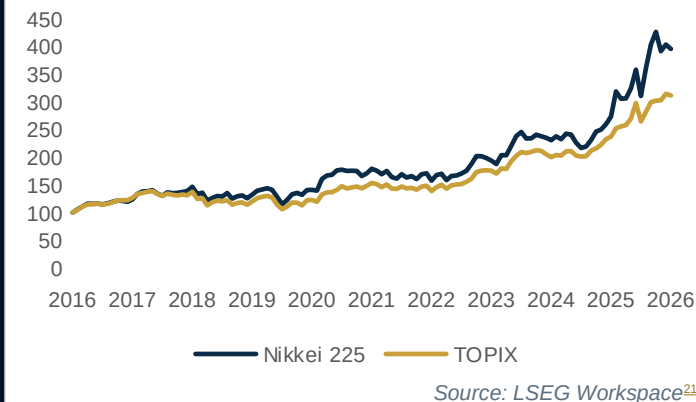
The BOJ Is Hiking, But 10-Year Yields Are Moving Faster



USD/JPY Whipsaws as a Joint US-Japan Intervention Defends 160



Nikkei Outpaces TOPIX as a Weaker Yen Drives Japanese Equities to Record Highs



Loose Policy Cannot Fix China's Property Slump

Stimulus is funding supply rather than households, so China stays out of both portfolios

MACROECONOMICS

- GDP growth slowed to 4.3% y/y in Q2, the weakest since late 2022, as weak household demand offsets exports.²³
- PPI rose 3.5%, ending a 41-month deflation streak, but CPI at 0.5% shows demand is too weak to lift consumer prices.²⁴

MONETARY POLICY & BONDS

- The LPR has held at 3.00% for 15 months and the 10-year CGB yield hit a record-low 1.68%, which signals markets expect prolonged weak growth.^{29,36}
- Debt near 75% of GDP and a six-trillion-yuan hidden-debt swap limit fiscal firepower, so stimulus is defensive rather than growth-boosting.

POLITICAL / EXOGENOUS / INTERACTIONS

- Property investment is down 19% year-to-date and home prices keep falling, eroding household wealth and confidence.
- The US tariff eased from 41% to 31%, but a new forced-labour tariff keeps pressure on export margins.
- China took 60Mt of Australian iron ore in July, about three-quarters of the total, so its slowdown flows straight into Australian earnings.

INVESTMENT RECOMMENDATION

SAA

UNDERWEIGHT

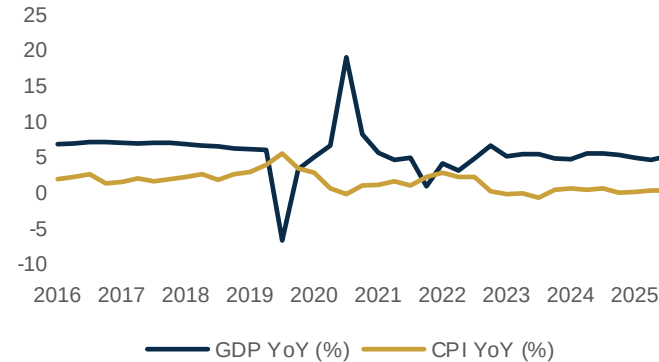
TAA

NEUTRAL

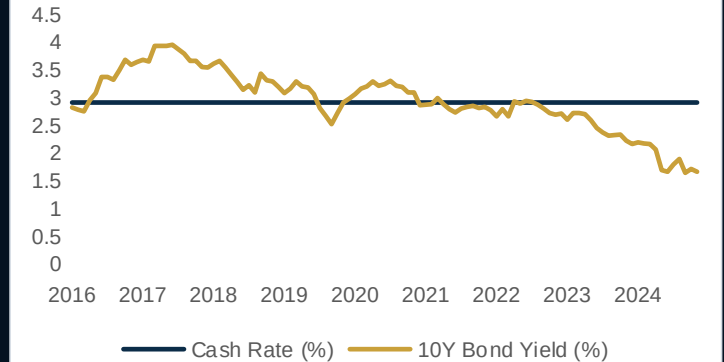
China stays at 0% in both portfolios because policy support is not reaching household demand.

View changes if: Direct household stimulus and stabilising home prices, which would justify a small IZZ position.

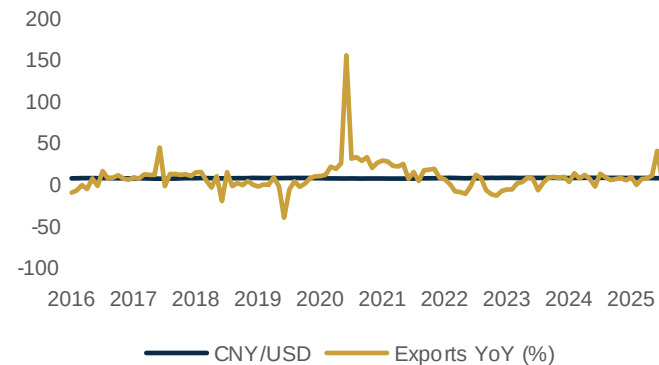
China Growth Steadies Near 4-5%, But Prices Barely Move



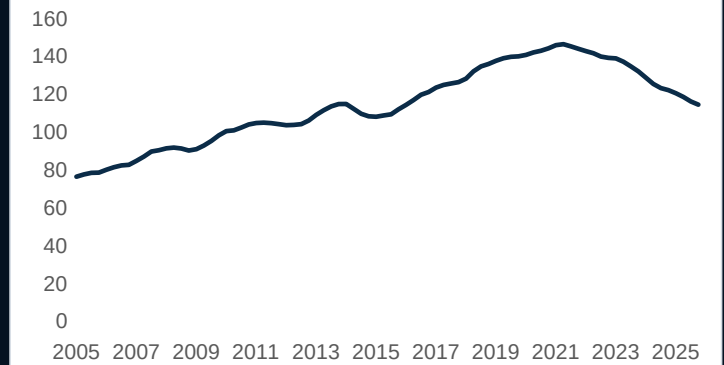
From 3.9% to 1.6%: China's Bond Yield Diverges From an Unmoved Cash Rate



Exports Swing Wildly While the Yuan Grinds Steadily Weaker



Home Prices Have Slid Since 2021 as the Property Slump Enters a Fifth Year



Emerging Markets Diverge Behind a Calm Average

A strong dollar and \$95 oil outweigh India's growth, so EM stays out until the USD turns

MACROECONOMICS

- India grew 7.8% y/y, the fastest major economy, but a 10% rupee fall lifted CPI to 4.45%, which erodes returns for foreign investors.³⁰
- Brazil grew 2.0% with the Selic at a restrictive 14.25%, and South Africa hiked to 7.00%, so credit growth stays weak.

MONETARY POLICY & BONDS

- A stronger dollar lifts EM yields (India near 7%, Brazil 14%, South Africa 8.74%), which raises funding costs for USD borrowers.³⁸
- Policy is diverging: India on hold, Brazil cutting and South Africa hiking, so an EM-wide ETF hides very different risks.

POLITICAL / EXOGENOUS / INTERACTIONS

- Oil near \$95 and a firmer dollar hit oil importers such as India hardest by widening their current-account deficits.³⁷
- A 25% US tariff on Brazil, possibly rising to 37.5%, cuts export earnings and weighs on the real.
- The Fed's hawkish turn lifts EM borrowing costs, partly offset by China's export shift toward Asia and Latin America.¹¹

INVESTMENT RECOMMENDATION

SAA

UNDERWEIGHT

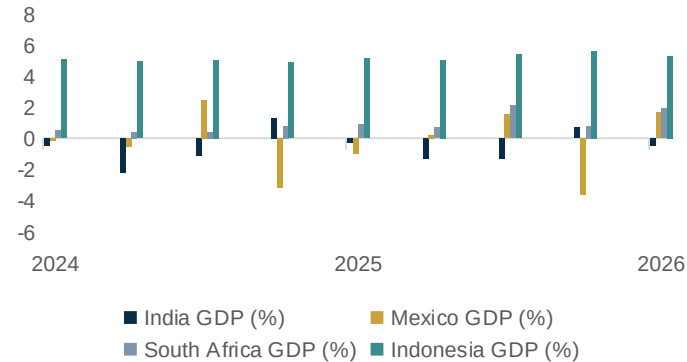
TAA

NEUTRAL

EM stays at 0% in both portfolios because dollar strength and \$95 oil outweigh India's growth.

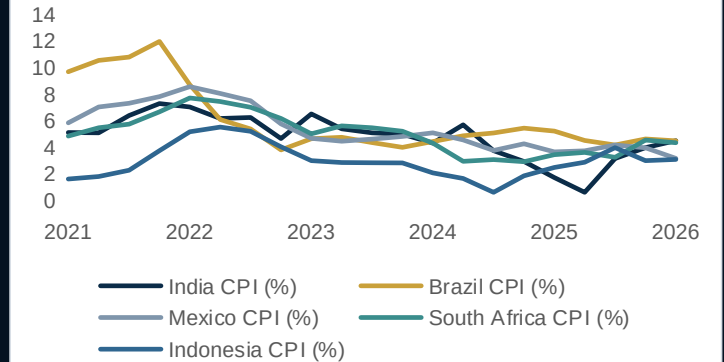
View changes if: The US dollar index falls and oil drops below \$80, which would justify a small VGE position.

Growth Diverges Across Emerging Markets, With Indonesia the Steadiest



Source: LSEG Workspace²¹

South Africa Cools to 4.3% as India Climbs to 4.45%



Source: LSEG Workspace²¹

Emerging-Market Equities Claw Back From a 2022 Bear Market to Record Highs



Source: LSEG Workspace²¹

The Dollar's Grip on Emerging Markets Has Eased but Not Let Go



Source: FRED⁸

US and Japan Anchor Equities While China and EM Stay Out

How the six regional views translate into equity weights over the next 12-18 months

AUSTRALIA

SAA N

TAA UW

Held via VETH

Weight: SAA 1.0% → TAA 0.0%

Sticky inflation keeps rates high and squeezes margins at 18.1x earnings, so we exit VETH tactically.

Opportunity:

RBA cuts once CPI is back at 2-3% would re-rate banks.

Risk:

An 18.1x P/E leaves no buffer if China cuts iron ore demand.

Catalyst:

RBA decisions on 29 September and in November.

UNITED STATES

SAA OW

TAA N

Held via SPY + VTS

Weight: SAA 30.0% → TAA 30.0%

AI-led earnings outweigh higher yields, but the 30% regional cap stops any further tilt.

Opportunity:

US\$760bn of AI capex keeps lifting Big Tech earnings.

Risk:

A third of the S&P 500 sits in seven AI-linked stocks.

Catalyst:

The Fed after its September hike; the midterms.

EUROZONE

SAA N

TAA UW

Held via ESGI

Weight: SAA 19.0% → TAA 15.4%

Energy inflation forces ECB hikes into weak growth, so we trim ESGI, our European exposure.

Opportunity:

German fiscal spending supports industrials.

Risk:

\$180 oil, if Hormuz stays shut, means stagflation.

Catalyst:

ECB meetings, the French budget, EU-US car tariffs.

JAPAN

SAA OW

TAA UW

Held via HJPN

Weight: SAA 16.6% → TAA 10.0%

Reform lifts returns on equity, but BOJ hikes can spark yen rallies that hit exporters.

Opportunity:

Governance reform keeps lifting returns on equity.

Risk:

Real wages keep falling, so domestic demand stays soft.

Catalyst:

Next BOJ move; USD/JPY near the 160 line.

CHINA

SAA UW

TAA N

Not held

Weight: SAA 0.0% → TAA 0.0%

Stimulus is funding supply rather than households, so the property drag keeps earnings weak.

Opportunity:

A big consumer stimulus could spark a sharp rally.

Risk:

The property slump keeps eroding household wealth.

Catalyst:

Property data and stimulus news.

EMERGING MARKETS

SAA UW

TAA N

Not held

Weight: SAA 0.0% → TAA 0.0%

A strong dollar and \$95 oil raise funding and import costs, outweighing India's growth.

Opportunity:

India's 7.8% growth would shine if the US dollar weakens.

Risk:

Taiwan and Korea dominate EM indices, so an AI slowdown hits hard.

Catalyst:

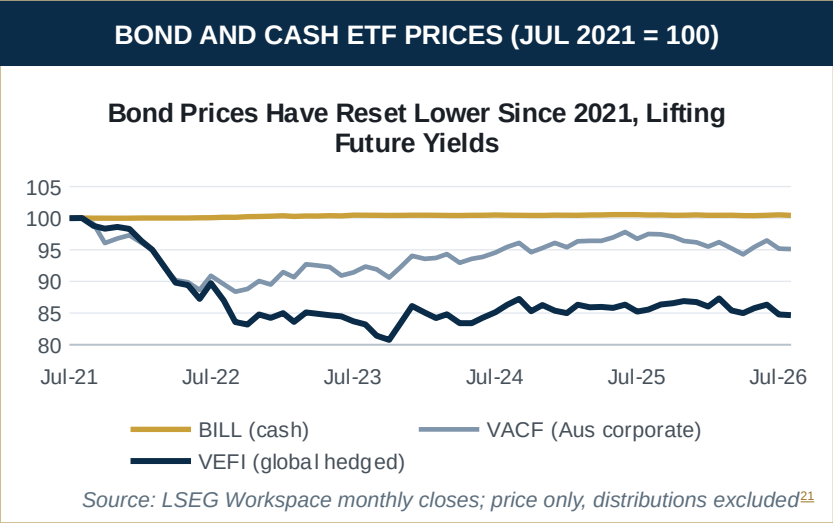
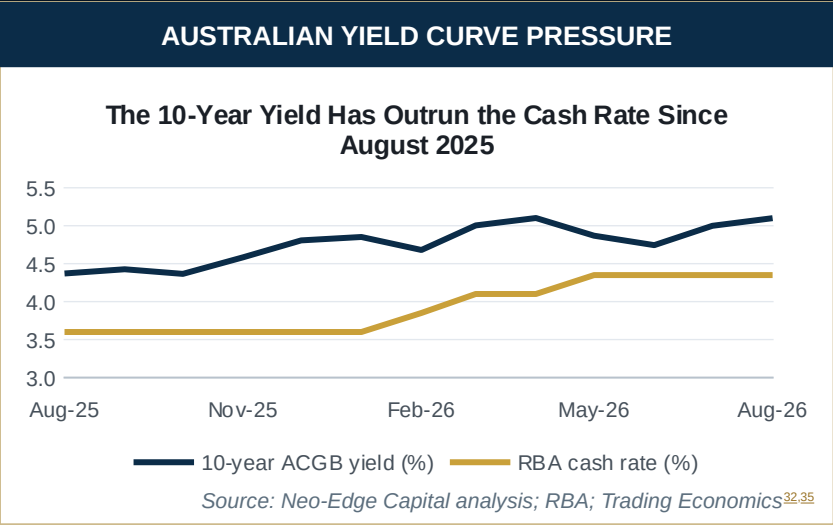
Fed easing, oil prices and US tariffs on Brazil.

12-18 month view. SAA view reflects the strategic weight (OW core holding, N modest or indirect, UW not held); TAA view compares the 60/40 TAA with the 70/30 SAA: OW raised, N unchanged, UW cut.

Hedged Global Bonds Are the Only Fixed Income Overweight

Rising long yields keep us out of Australian duration and credit; hedged global bonds are the only fixed income overweight

SLEEVE	ETF (UNIVERSE)	SAA → TAA	VIEW	RATIONALE
AUSTRALIAN CASH	BILL (iShares) MER 0.07%. Universe peers: AAA (1% in the TAA), ISEC	21% → 21%	N	With the RBA at 4.35% and hikes still live, cash earns a solid risk-free return that funds scholarships, so it stays at 21%. ³² Catalyst: RBA decisions on 29 September and in November
AUSTRALIAN GOVERNMENT BONDS	VGB (Vanguard) MER 0.16%. Universe peers: IAF, VAF (composite gov + credit)	0% → 0%	N	Hike risk is still live, so yields could climb from a 15-year high and cut bond prices; we wait at 0%. Catalyst: A clear peak in the cash rate
AUSTRALIAN CORPORATE BONDS	VACF (Vanguard) MER 0.20%. Universe peers: IAF, VAF	1% → 0%	UW	Spreads are tight while long yields rise, which leaves little reward for credit risk, so the 1% holding moves into VEFI. Catalyst: Wider credit spreads
GLOBAL BONDS (HEDGED)	VEFI (Vanguard) MER 0.26%. Chosen over VBND and VIF for its ESG screen	0% → 4%	OW	Because global bonds rally when growth slows, AUD-hedged ESG duration diversifies the equity sleeve, so the TAA adds 4%. ²² Catalyst: Slowing global growth
EMERGING MARKETS BONDS	IHEB (iShares) MER 0.53%. The only EM bond ETF in the universe	0% → 0%	N	A strong dollar and the Hormuz shock hit EM borrowers hardest; IHEB fell 32% at its worst, so it stays at 0%. Catalyst: A weaker US dollar



View = TAA weight vs SAA weight: one overweight (VEFI, +4pp), one underweight (VACF, -1pp); the rest of the defensive shift goes to gold. All ETFs are from the 3233AFE ASX universe.

Gold and Infrastructure Hedge the Stagflation Risk

Alternatives outlook: 12-18 month opportunities, risks and catalysts for the real-asset sleeve

GOLD

SAA N

TAA OW

Held via GOLD (Global X Physical Gold)

SAA 8.0% → TAA 15.0%

Gold has low correlation with equities, which cushions drawdowns in an energy shock, so the TAA nearly doubles it.

Since Jul 2021: 18.9% p.a. return, 15.8% volatility, -22.1% max drawdown

Opportunity: A prolonged Hormuz shock and sticky inflation lift demand for real assets.

Risk: After a 19% p.a. run since 2021, a fading shock could reverse part of the gain.

Catalyst: Hormuz shipping, oil prices and real yields after the Fed's September hike.

GLOBAL INFRASTRUCTURE

SAA N

TAA OW

Held via VBLD (Vanguard Global Infrastructure)

SAA 3.4% → TAA 4.6%

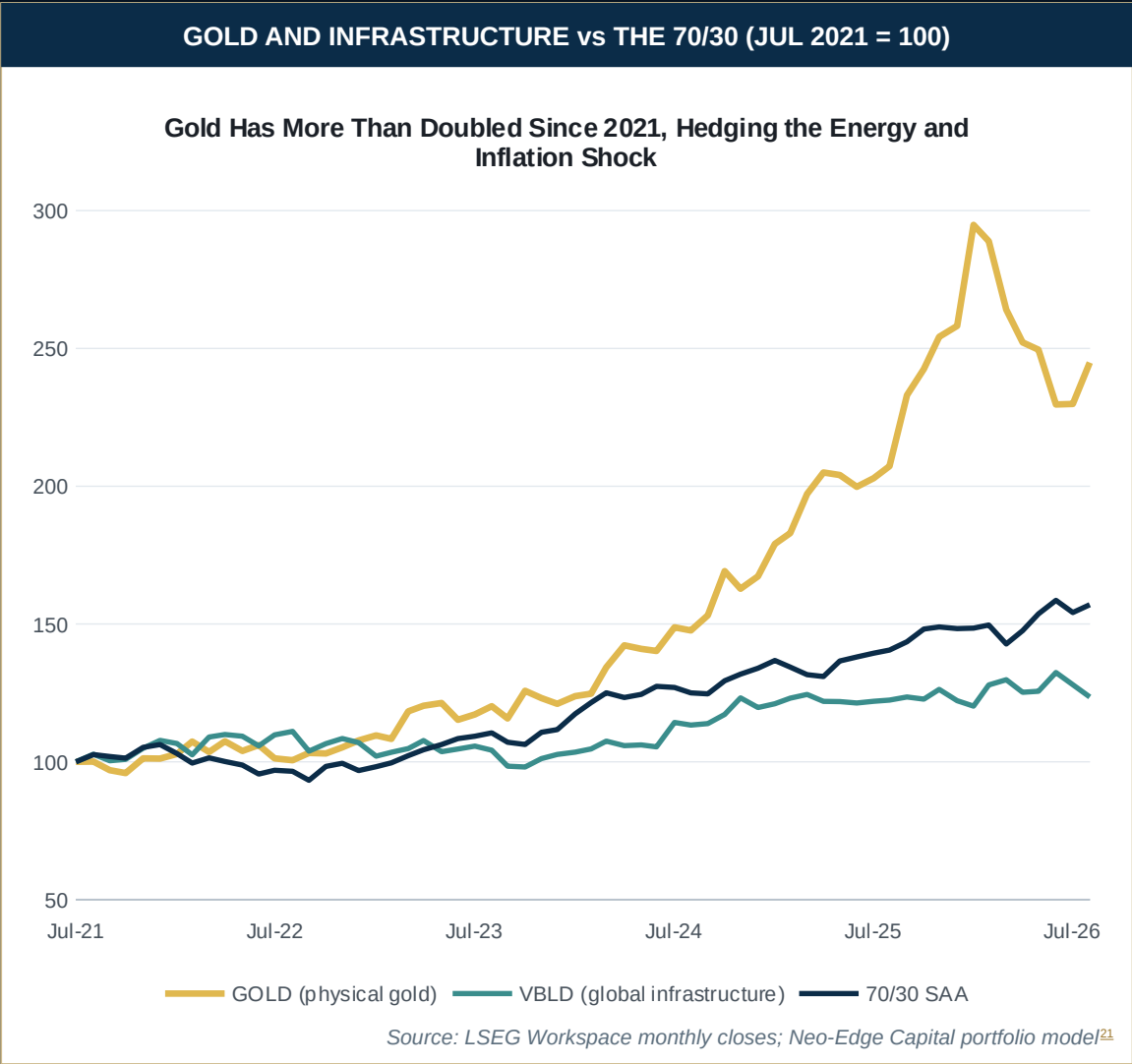
Because regulated revenues are inflation-linked, cash flows hold up in stagflation, so the TAA adds 1.2pp.

Since Jul 2021: 4.7% p.a. return, 10.2% volatility, -11.6% max drawdown

Opportunity: Inflation-linked tariffs pass higher prices on to customers.

Risk: Higher long yields raise funding costs and lower the value of long-lived assets.

Catalyst: Bond yields and public infrastructure spending such as Germany's €180bn plan.



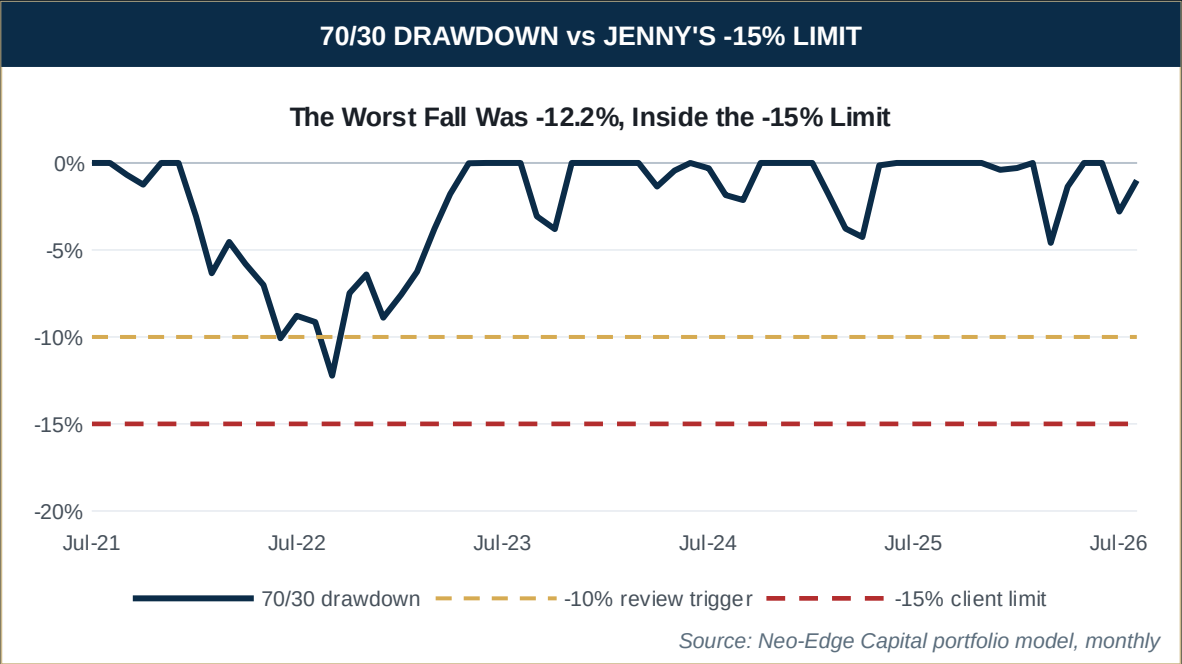
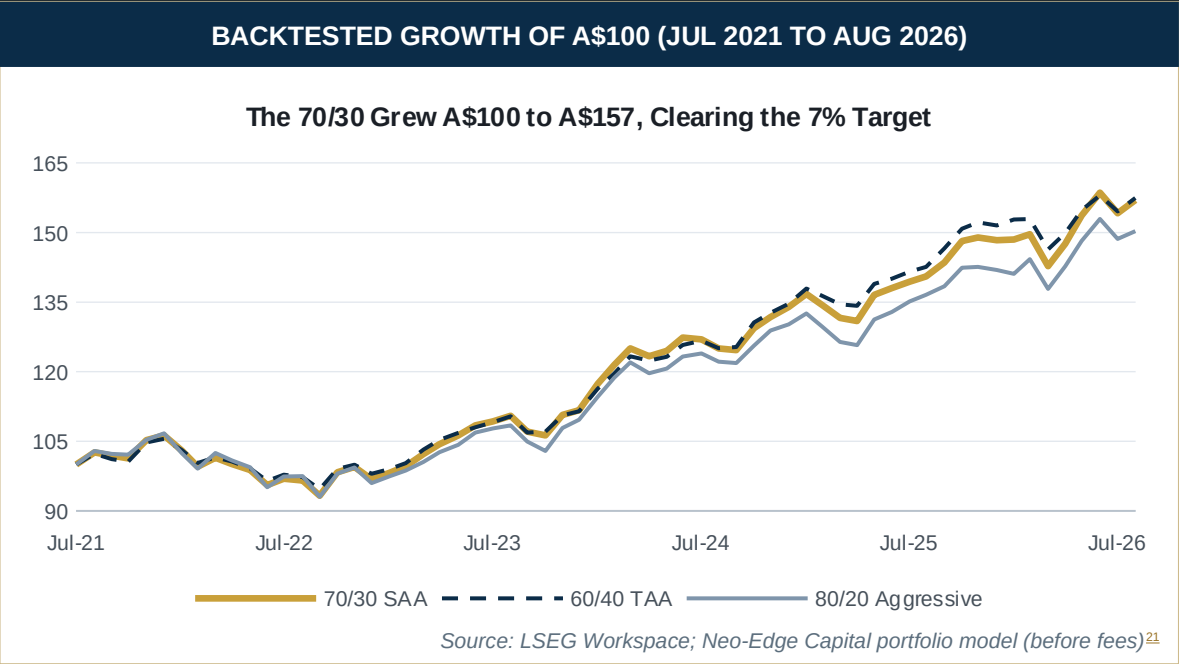
12-18 month view. Return, volatility and drawdown are annualised from monthly price data, Jul 2021 to Aug 2026 (Neo-Edge Capital portfolio model).

For the next 12 months we move from 70/30 to 60/40, adding gold and hedged bonds while energy and inflation risks stay high

View = TAA weight vs SAA weight: OW raised, N unchanged, UW cut. Every overweight is funded by an underweight, so the portfolio stays 100% invested with no leverage. Source: Neo-Edge Capital portfolio model.

Request 1 & 6: Return Objective & Risk Tolerance

The 70/30 beat the 7% target, and its worst fall since 2021 (-12.2%) stayed inside Jenny's -15% limit



RETURN OBJECTIVE

8.9%

p.a. after fees, 70/30 backtest

✓ Target ≥7% p.a.

MAX DRAWDOWN

-12.2%

worst fall, Jul 2021 to Aug 2026

✓ Client limit -15%

RISK-ADJUSTED RETURN

0.60

Sharpe ratio, quarterly backtest

✓ Beats the 3.78% risk-free rate

GUARDRAIL

-10%

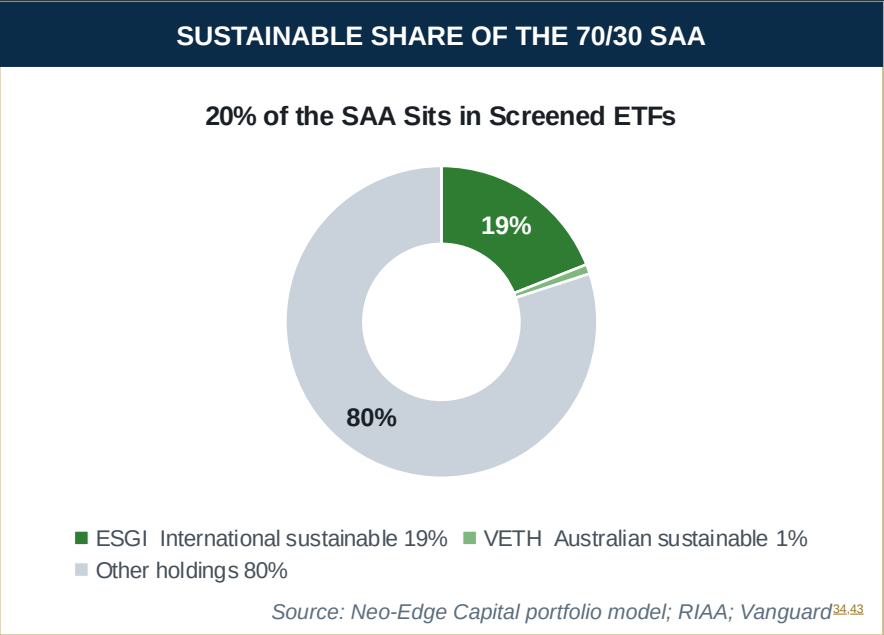
internal review trigger

Reviewed quarterly

Source: Neo-Edge Capital portfolio model. Backtest weights × monthly ETF returns, rebalanced monthly; the live portfolio is reviewed quarterly. Sharpe uses a 3.78% risk-free rate.

Request 2: Integrating Sustainable Investing Principles

Sustainability measured through index screens and certification, not ETF labels



ETF	Category	MER	Bid-ask spread	Key screens / evidence	In portfolio
VETH	Australian sustainable equity	0.16%	0.05%	FTSE Australia 300 Choice index, excludes fossil fuels, weapons, tobacco, gambling	1% (SAA)
FAIR	Australian sustainability leaders	0.49%	0.16%	Not selected, 0.5% p.a. return and -22% drawdown	None
GRNV	Australian sustainable equity	0.35%	0.07%	Not selected, lower return and deeper drawdown than VETH	None
ESGI	International sustainable equity	0.55%	0.09%	MSCI ex fossil fuel SRI low-carbon index, RIAA certified	19% (SAA)
ETHI	Global sustainability leaders	0.59%	0.14%	Not selected, deeper drawdown than ESGI (-23% vs -20%)	None
VEFI	Ethical global aggregate bonds	0.26%	0.24%	Bloomberg MSCI SRI exclusions index, AUD hedged	4% (TAA)

ALIGNMENT TEST

- ESGI excludes fossil fuel reserve owners, weapons, tobacco and gambling, removes the top 25% of carbon emitters and is RIAA certified.³⁴
- VETH tracks the FTSE Australia 300 Choice index and excludes fossil fuels, nuclear power, weapons, tobacco and gambling.⁴³
- We will confirm Jenny's own exclusions with her before investing.

FINANCIAL TEST

- Sustainability does not override the mandate.
- With 20% in ESGI and VETH, the 70/30 still returned 8.9% p.a. after fees with a -12.2% maximum drawdown.
- ESGI returned 6.1% p.a. at a 0.55% MER and VETH 4.0% at 0.16%.

REPORTING TEST

- Each quarter we report the sustainable weight, each fund's exclusions and its carbon intensity versus the market.
- Any holding that conflicts with Jenny's values is flagged and reviewed with her.

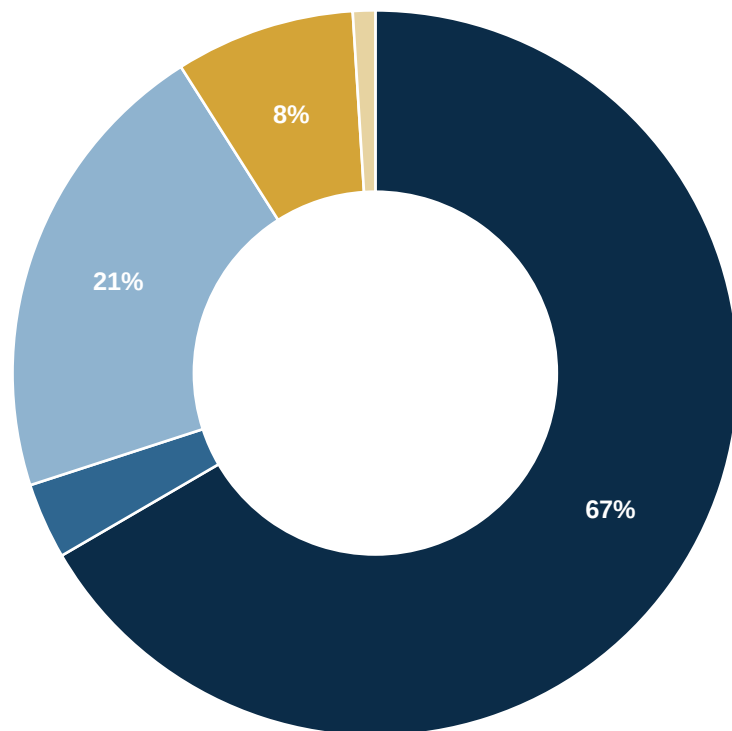
Source: 3233AFE ETF Investment Universe; LSEG Workspace; VanEck, Vanguard and RIAA product disclosures.

Request 3: Strict Zero-Leverage Policy

Liquidity and defensive assets protect capital without borrowing

70/30 SAA BY ASSET CLASS

70% Growth, 30% Defensive, With No Borrowing Anywhere



■ Equities 66.6% ■ Infrastructure 3.4% ■ Cash (BILL) 21.0%
■ Gold 8.0% ■ Bonds (VACF) 1.0%

ZERO-LEVERAGE RULE

- All 9 ETFs are unleveraged funds from the approved universe, and GOLD holds physical bullion.
- Geared, short and synthetic products are excluded, which is why OOO was rejected.
- Weights sum to exactly 100% with no borrowing or margin.

LIQUIDITY & EXECUTION

- 21% sits in cash (BILL), which can be sold on the ASX the same day.
- Every holding trades daily on the ASX, so scholarship payments and rebalancing never require forced selling.

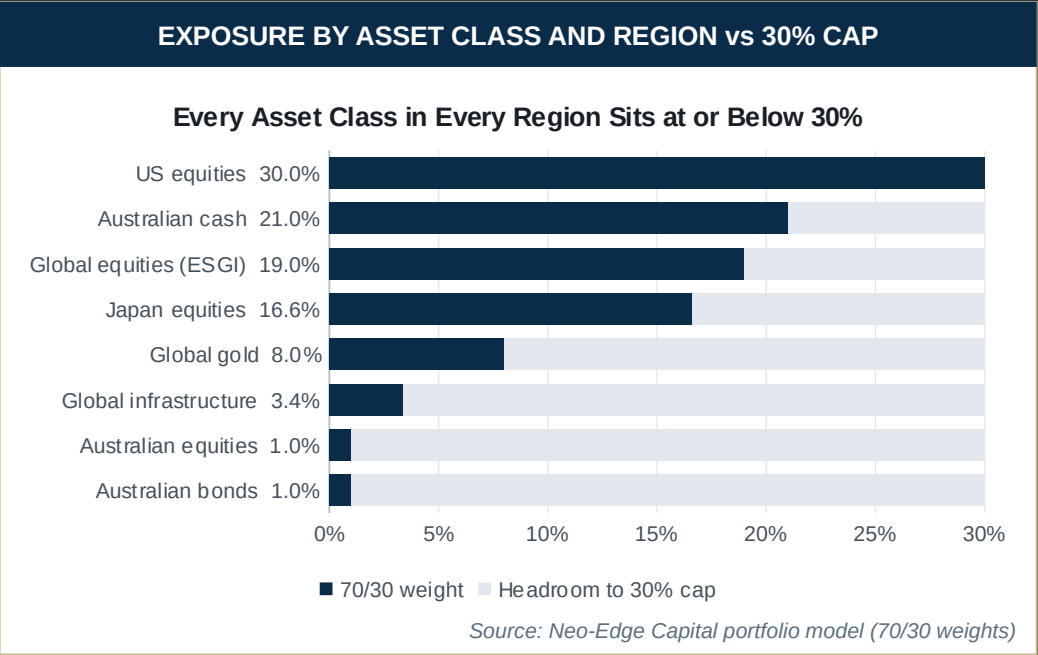
DEFENSIVE CAPACITY

- Cash, gold and bonds make up 30% of the portfolio (cash 21%, gold 8%, bonds 1%).
- In the COVID crash BILL fell only 0.3% and gold 12%, while the ASX 200 fell 36.5%.
- That cushion held the 70/30's COVID fall to 17.6%, half the ASX 200's, and a -10% trigger moves us toward the 60/40.

Source: Neo-Edge Capital portfolio model (70/30 weights); LSEG Workspace daily closes for the COVID crash.

Request 4 & 5: Strict Portfolio Guardrails

ASX-listed implementation with diversified regional and asset-class exposure



Final ETF	Asset class	Region	ASX listed	Weight	Within cap
SPY	Equities	United States	Yes	29.0%	Yes
BILL	Cash	Australia	Yes	21.0%	Yes
ESGI	Equities	Global	Yes	19.0%	Yes
HJPN	Equities	Japan	Yes	16.6%	Yes
GOLD	Gold	Global	Yes	8.0%	Yes
VBLD	Infrastructure	Global	Yes	3.4%	Yes
VTS	Equities	United States	Yes	1.0%	Yes
VETH	Equities	Australia	Yes	1.0%	Yes
VACF	Bonds	Australia	Yes	1.0%	Yes

REGIONAL DIVERSIFICATION

- Four regions. United States 30%, Global 30.4% (across three asset classes), Australia 23% and Japan 16.6%.
- No asset class in any region exceeds 30% and no single ETF exceeds 29%.

ASX COMPLIANCE

- All 9 ETFs are ASX-listed and appear in the approved 3233AFE ETF Investment Universe.
- No unlisted funds, derivatives or direct offshore holdings.

REBALANCING RULE

- Quarterly review back to policy weights.
- Immediate rebalance if any asset class nears 30% or the portfolio falls 10% from its peak.

Source: Neo-Edge Capital portfolio model (70/30 weights); 3233AFE ETF Investment Universe.

The recommended 70/30 strategic portfolio, built from the approved ASX ETF universe

SELECTION CRITERIA		
✓	Supports the SAA and TAA views	
✓	Approved ASX ETF	
✓	Low or justified MER	
✓	Acceptable spread and liquidity	
✓	Diversification benefit	
✓	Sustainable where applicable	
✓	No leverage	

OBJECTIVES MET		
✓	Return $\geq 7\%$ p.a.	8.9%
✓	Max drawdown within -15%	-12.2%
✓	No leverage	
✓	$\leq 30\%$ per asset class per region	
✓	ASX-listed only	
✓	Sustainable	20%
✓	Scholarship liquidity	21% cash

AGENDA CLIENT NEEDS SAA MACRO AUSTRALIA USA EUROZONE JAPAN CHINA EM EQUITY BONDS & ALTS TAA **REQUESTS** APPENDIX

How the portfolio was built, tested and stress tested

All figures are price returns in AUD unless otherwise stated.

Sources 1 to 22 of 43, numbered to match the superscripts on each slide

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